Larkspur Analytics

Q3 2026 Board Update

Prepared for the Board of Directors - October 2, 2026 - Confidential

1. Executive Summary

- Q3 was our strongest quarter to date. Financial results are summarized in Table 1 on page 2.
- We signed 9 new customers, including 3 enterprise accounts.
- The August platform outage (page 3) was our most serious incident this year. Remediation is complete and the follow-up actions are on track.
- Two implementation partners submitted proposals for the data platform migration (page 4).
- The board approved a change to the remote work stipend (page 5).
- Decisions requested at the October 9 meeting are listed on page 6.

This update covers the quarter from July 1 to September 30, 2026. All figures are unaudited.

2. Financial Results

Table 1 compares the third quarter of 2026 with the previous quarter and with the same quarter last year. All figures are unaudited and in US dollars.

Table 1. Key financial metrics

Metric	Q3 2026	Q2 2026	Q3 2025
Revenue	$4.2M	$3.9M	$3.1M
Gross margin	68%	66%	63%
Operating expenses	$3.6M	$3.5M	$3.0M
Net burn	$0.7M	$0.9M	$1.2M
Cash at quarter end	$14.5M	$15.2M	$18.1M
Customers	212	203	171

Commentary

Operating expenses increased because of hiring in engineering and customer success. Net burn declined for the fourth consecutive quarter, and cash runway at the current burn rate is more than 18 months.

Collections were strong: days sales outstanding fell from 52 to 44 days. No customer accounted for more than 6% of quarterly billings.

3. Operations and Incidents

Incident LRK-4471: August platform outage

On August 12, 2026, a failed database migration caused a 9-hour outage of the Larkspur forecasting platform. 41 customers were affected. Service credits, overtime and remediation work cost $120k in total. The root cause was a schema change that was applied without a tested rollback plan.

Actions taken: every migration now requires a tested rollback plan, schema changes roll out to 5% of customers first, and a public status page was launched on September 1.

Incident LRK-4398: API latency

On July 3, 2026, API latency was degraded for 25 minutes after a configuration error. No customer credits were issued.

Availability and support

Platform availability for the quarter was 99.62%, below our internal target of 99.9% because of the August outage. Median first response time for support tickets was 38 minutes, and customer satisfaction was 94%.

4. Product and Go-to-Market

Forecast Studio 3.0 was released in September with scenario planning and a new data quality dashboard. Qualified sales pipeline at quarter end was $6.8M.

Data platform migration

Management requested proposals for migrating the forecasting data platform to a managed service. Two proposals were received: BrightPath Consulting (dated August 20, 2026) and CoreLink Systems (dated August 27, 2026). Management will recommend a partner at the January meeting after reference calls.

Partnerships

The reseller agreement with Northwind Retail Partners was renewed for 2027. Two new integration partners joined the marketplace this quarter.

5. People and Policies

Headcount at quarter end was 84, up from 77 at the end of June. Voluntary attrition was 4% for the quarter, and there are 12 open roles, mostly in engineering.

Remote work stipend

Following the spring employee survey, the board approved an increase in the remote work stipend from $500 to $750 per year, effective October 1, 2026. People Operations will update the employee handbook in its next edition.

Engagement

The employee engagement score rose to 78, up 4 points from the spring survey. Managers will share team-level results and action plans by November 15.

6. Decisions Requested

- Approve the FY2027 operating expense envelope of $19.5M.
- Approve the refresh of the employee option pool (details in the appendix to follow).
- Ratify the updated audit committee charter.

Next meeting

The next board meeting is scheduled for January 14, 2027.